

# ENTREPRENEURSHIP THERORY & PRACTICE (GE4B01)

---

## MODULE 3



# INTRODUCTION

---

- Entrepreneur is an innovative person who maximize his profits by following new strategies or venturing into new product or services.
- When an entrepreneur starts a business, risk is involved. Risk is the chance of losing something
- Entrepreneurs can be classified according to the following categories:
  - ❑ Classification according to types of business
  - ❑ Classification according to motivation of entrepreneur
  - ❑ Classification according to growth
  - ❑ Classification according to stages of development



# TYPES OF ENTREPRENEURS

Classification according to types of business:

- Business entrepreneurs- He is an individual who discovers an idea to start a business and then builds a business to give birth to his idea.
  - Trading entrepreneurs- He is an entrepreneur who undertakes trading activity i.e; buying and selling manufactured goods.
  - Industrial entrepreneurs- He is an entrepreneur who undertakes manufacturing activities.
  - Corporate entrepreneurs- He is a person who demonstrates his innovative skill in organizing and managing a corporate undertaking.
  - Agriculture entrepreneurs- They are entrepreneurs who undertake agricultural activities such as raising and marketing of crops, fertilizers and other inputs of agriculture. They are called agripreneurs.
- 

# **TYPES OF ENTREPRENEURS**

---

Classification according to motivation of entrepreneur:

- Pure entrepreneurs- They believe in their own performance while undertaking business activities. They undertake business ventures for their personal satisfaction, status and ego. They are guided by the motive of profit.
  - Induced entrepreneurs- He is induced to take up an entrepreneurial activity with a view to avail some benefits from the government. These benefits are in the form of assistance, incentives, subsidies, concessions and infrastructures.
  - Motivated entrepreneurs- These entrepreneurs are motivated by the desire to make use of their technical and professional expertise and skills. They are motivated by the desire for self-fulfillment.
  - Spontaneous entrepreneurs- They are motivated by their desire for self-employment and to achieve or prove their excellence in job performance. They are natural entrepreneurs.
- 

# TYPES OF ENTREPRENEURS

Classification according to growth:

- Growth entrepreneur- Growth Entrepreneurs are those who necessarily take up a high growth industry that has growth prospects.
- Super growth entrepreneur- Super growth Entrepreneurs show enormous growth prospects. The growth prospects is identified by liquidity of funds



# **TYPES OF ENTREPRENEURS**

---

Classification according to stages of development:

- First generation entrepreneurs- He is one who starts an industrial unit by means of his own innovative ideas and skills. He is essentially an innovator. He is also called new entrepreneur.
- Modern entrepreneurs- He is an entrepreneur who undertakes those ventures which suit the modern marketing needs.
- Classical entrepreneurs- He is one who develops a self supporting venture for the satisfaction of customers' needs. He is a stereotypical or traditional entrepreneur



# **FUNCTION OF AN ENTREPRENEUR**

---

The main functions of an entrepreneur are:

**Innovation-** Introduces new products, services, or production methods.

Brings creative ideas into business.

**Risk-bearing-** Takes financial and business risks involved in starting and running an enterprise.

**Organizing Resources** - Combines land, labor, capital, and machinery effectively for production.

**Decision-making** - Makes important business decisions regarding production, marketing, pricing, etc.

**Planning** -Sets goals, prepares strategies, and plans future activities of the business.

# **FUNCTION OF AN ENTREPRENEUR**

---

**Management and Leadership** - Supervises employees and motivates them to achieve organizational objectives.

**Coordination**- Ensures smooth coordination among different departments and activities.

**Marketing and Promotion**- Identifies customer needs and promotes products/services in the market.

**Creating Employment**- Generates job opportunities by establishing businesses.

**Economic Development**- Contributes to national income, industrial growth, and overall economic progress.





**Thank You**